

MediaTek

Outperform

NVDA and GOOG subscribe to MTK's US\$3.9bn ECB

What's new

- Today, MediaTek announced the largest ECB ever in the Taiwan market.** MediaTek announced today that it is issuing a US\$3.9bn (>NT\$120bn) overseas convertible bond (ECB), the largest ECB ever from a Taiwan issuer (see news [here](#)). NVIDIA subscribed US\$3.5bn (~90%), which marks its first major direct investment in a Taiwan-listed company. Alphabet also subscribed (amount undisclosed). Per the announcement, the conversion price is set at ~NT\$4,500 (i.e. 115% of its 31 Aug close). Proceeds fund foreign-currency material procurement, and the company disclosed a max dilution of ~1.67%.
- NVIDIA and Alphabet subscribed.** In a subsequent interview, NVIDIA and MediaTek announced a deepened partnership across 1) AI infrastructure: MediaTek adopts the NVLink Fusion platform, giving hyperscalers, CSPs and frontier labs a prebuilt, pre-validated path to bring custom XPUs into NVLink-connected rack-scale AI factories, with NVIDIA networking and CPUs pulled through when MediaTek wins; 2) local AI computing: multi-generation DGX Spark/RTX Spark PC roadmap; and 3) automotive: Dimensity Auto with DRIVE AGX. MediaTek mgmt reiterated AI chip revenue of ~US\$2bn this year and its target of ~15% of an ~US\$80bn TAM next year, which it expects NVLink Fusion to support by shortening customers' time to market.

Why it matters

- Endorsement of MediaTek's AI strategy.** NVIDIA mgmt commented that the investment formalises a partnership built on a decade-long roadmap, and it is NVIDIA's first major investment in a Taiwan-listed company. We believe a commitment of this scale is hard to repeat regularly, positioning MediaTek as NVIDIA's partner of choice in the custom-XPU expansion, marking an endorsement that peers are unlikely to obtain and confirmation of MediaTek's expansion from AI ASIC chips into full rack-scale systems and platforms.
- Dilution is small, and overhang risk is low.** Disclosed max dilution is only ~1.67%. Moreover, >90% of the deal sits with strategic subscribers (i.e. NVIDIA, Alphabet), who we believe will not run the delta-hedging (short-selling) that typically pressure shares after an ECB issuance.
- Partnership enlarges MediaTek's ASIC opportunity.** Through NVLink Fusion, every MediaTek XPU rack pulls through NVIDIA switching, networking & CPUs, so NVIDIA gains from MediaTek's ASIC success. We believe NVIDIA chose MediaTek because it is open to both GPU-attached & ASIC business, whereas peers compete with NVIDIA in networking or are less aligned. This supports mgmt's target of ~15% of an US\$80bn TAM next year.

What now

- Reiterate Outperform, TP at NT\$10,000.**

Semicons & Semicon Equip Taiwan



Arthur
Lai



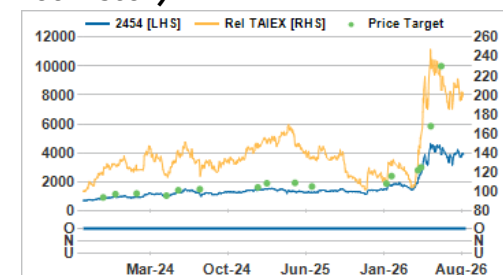
Katherine
Zheng

2454 TT	Outperform
Price (at 31 Aug 2026)	TWD3,925
12-month target	TWD10,000
12-month TSR (%)	156.7
Volatility Index	High
Market Cap (Local) (m)	6,295,289
Market Cap (USD) (m)	199,168
Free Float (%)	97
30-day avg turnover (USD) (m)	1,014.4

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (bn)	596.0	621.2	956.1	1,898
Revenue growth (%)	12.3	4.2	53.9	98.5
EBIT (bn)	103.5	94.1	206.1	535.1
EBIT growth (%)	1.0	(9.0)	119.0	159.7
Adjusted profit (bn)	105.3	93.1	184.2	455.0
EPS adj [TWD]	66.2	58.5	115.6	285.7
EPS adj growth (%)	(1.2)	(11.6)	97.7	147.1
Net debt/equity (%)	(56.4)	(33.5)	(51.1)	(86.0)
ROA (%)	14.4	12.7	24.1	35.6
ROE (%)	26.4	22.9	40.6	68.0
PER adj (x)	59.3	67.1	33.9	13.7
EV/EBITDA (x)	41.2	44.9	23.0	9.3
P/BV (x)	15.6	15.2	12.6	7.4
Total div yield (%)	1.4	1.5	1.6	1.7

2454 TT rel TAIEX performance, & rec history



Source: FactSet, Macquarie Research, Aug 2026 (all figures in TWD unless noted, TP in TWD)

Analysts

Arthur Lai

852 3922 4216

art.lai@macquarie.com

Macquarie Capital Limited

Katherine Zheng

+852 6886 4436

kat.zheng@macquarie.com

Macquarie Capital Limited

Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60-100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40-60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25-40% in a year. Low – stock should be expected to move up or down at least 15-25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 30 Jun 2026

	AU/NZ	Asia	USA	
Outperform	65.38%	70.02%	64.29%	(for global coverage by Macquarie, 1.91% of stocks followed are investment banking clients)
Neutral	27.62%	16.78%	35.71%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	6.99%	13.19%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

Company Name	Disclosure
MediaTek (2454 TT) Outperform 12-month target: TWD10,000 - PER Valuation: TWD 10,000.00 - PER Price: TWD3,925	None

Target Price Risk Disclosures

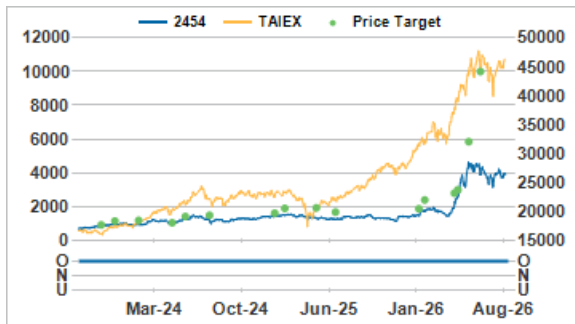
Company Name	Risk Disclosure
MediaTek (2454 TT)	- End-demand remaining soft. - Higher-than-expected foundry costs. - Google TPU project delays. - Unfavourable FX rates.

A reference to "Macquarie" is a reference to the entity within the Macquarie Group of companies (comprising Macquarie Group Limited and its worldwide affiliates and subsidiaries) that is relevant to this disclosure. Important disclosure information regarding the subject companies covered in this report is available publicly at www.macquarie.com/research/disclosures. Clients receiving this report can additionally access previous recommendations (from the year prior to publication of this report) issued by this report's author at <https://www.macquarieinsights.com>.

TO THE EXTENT THAT ANY COMPANY MENTIONED IN THIS COMMUNICATION IS A COMPANY LISTED IN THE ANNEX TO EXECUTIVE ORDER 14032 OF JUNE 3, 2021 FROM THE PRESIDENT OF THE UNITED STATES OF AMERICA ("EO14032") OR IN THE OFAC NON-SDN CHINESE MILITARY-INDUSTRIAL COMPLEX COMPANIES LIST AS UPDATED FROM TIME TO TIME AND YOU ARE A "UNITED STATES PERSON" AS DEFINED UNDER EO14032, YOU ARE REMINDED THAT YOU MAY BE PREVENTED BY EO14032 FROM TRADING THE SECURITIES OF SUCH A COMPANY.

Recommendation history

Company name	Date	Recommendation	Target price
MediaTek (2454 TT)	27-Jun-2026	Outperform	TWD 10000.00
	28-May-2026	Outperform	TWD 5850.00



30-Apr-2026	Outperform	TWD 3000.00
21-Apr-2026	Outperform	TWD 2800.00
4-Feb-2026	Outperform	TWD 2400.00
20-Jan-2026	Outperform	TWD 1880.00
20-Jun-2025	Outperform	TWD 1680.00
2-May-2025	Outperform	TWD 1930.00
10-Feb-2025	Outperform	TWD 1900.00
15-Jan-2025	Outperform	TWD 1620.00
1-Aug-2024	Outperform	TWD 1490.00
31-May-2024	Outperform	TWD 1420.00
27-Apr-2024	Outperform	TWD 1050.00
1-Feb-2024	Outperform	TWD 1189.00
2-Dec-2023	Outperform	TWD 1148.00
28-Oct-2023	Outperform	TWD 922.00

Sensitivity analysis:

Clients receiving this report can request access to a model which allows for further in-depth analysis of the assumptions used, and recommendations made, by the author relating to the subject companies covered. Contact <https://www.macquarieinsights.com/contacts> for access requests.

Analyst Certification

We hereby certify that all the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. The views were reached independently, without any attempt of influence from anyone outside of Macquarie's Research business. Any and all opinions expressed have a reasonable basis, which are the result of the exercise of due care and skill. We confirm we (the authors), our team, and our associates do not hold securities in our sector of coverage, except for holdings disclosed to Research Compliance where we have received approval to hold temporarily until we are able to dispose of the holdings, and confirm the presence of disclosure language on this research which relates to this personal holding. To the best of our knowledge, we are not in receipt of, nor have included in this report, information considered to be inside information at the time of publication. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report. We acknowledge that the Analysts responsible for preparing this report receive compensation from Macquarie that is based upon various factors including Macquarie Group Ltd.'s overall revenues, a portion of which are generated by Macquarie Group's Investment Banking activities.

General disclaimers:

Other than Macquarie Bank Limited ABN 46 008 583 542 ("MBL"), any Macquarie Group entity noted is not an authorized deposit-taking institution for the purposes of the Banking Act 1959 (Commonwealth of Australia), and that entity's obligations do not represent deposits or other liabilities of MBL. Any investments are subject to investment risk including possible delays in repayment and loss of income and principal invested. MBL does not guarantee or otherwise provide assurance in respect of the obligations of that entity. This research has been prepared for the general use of the wholesale clients of the Macquarie Group and must not be copied, either in whole or in part, or distributed to any other person. You are permitted to store, display, analyze, modify, reformat, and print the information made available to you in the research only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of the Macquarie Group. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of the Macquarie Group. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or finetune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a data source, prompt or input to any such system. If you are not the intended recipient you must not use or disclose the information in this research in any way. If you received it in error, please tell us immediately by return e-mail and delete the document. We do not guarantee the integrity of any e-mails or attached files and are not responsible for any changes made to them by any other person. MGL has established and implemented a conflicts policy at group level (which may be revised and updated from time to time) (the "Conflicts Policy") pursuant to regulatory requirements which sets out how we must seek to identify and manage all material conflicts of interest. Nothing in this research shall be construed as a solicitation to buy or sell any security or product, or to engage in or refrain from engaging in any transaction. In preparing this research, we did not take into account your investment objectives, financial situation or particular needs. Macquarie salespeople, traders and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions which are contrary to the opinions expressed in this research. Macquarie Research produces a variety of research products including, but not limited to, fundamental analysis, macro-economic analysis, quantitative analysis, and trade ideas. Recommendations contained in one type of research product may differ from recommendations contained in other types of research, whether as a result of differing time horizons, methodologies, or otherwise. Before making an investment decision on the basis of this research, you need to consider, with or without the assistance of an adviser, whether the advice is appropriate in light of your particular investment needs, objectives and financial circumstances. There are risks involved in securities trading. The price of securities can and does fluctuate, and an individual security may even become valueless. International investors are reminded of the additional risks inherent in international investments, such as currency fluctuations and international stock market or economic conditions, which may adversely affect the value of the investment. This research is based on information obtained from sources believed to be reliable but we do not make any representation or warranty that it is accurate, complete or up to date. We accept no obligation to correct or update the information or opinions in it. Opinions expressed are subject to change without notice. No member of the Macquarie Group accepts any liability whatsoever for any direct, indirect, consequential or other loss arising from any use of this research and/or further communication in relation to this research. Clients should contact analysts at, and execute transactions through, a Macquarie Group entity in their home jurisdiction unless governing law permits otherwise. The date and timestamp for above share price and market cap is the closed price of the price date. #CLOSE is the final price at which the security is traded in the relevant exchange on the date indicated. Members of the Macro Strategy team are Sales & Trading personnel who provide desk commentary that is not a product of the Macquarie Research department or subject to FINRA Rule 2241 or any other regulation regarding independence in the provision of equity research.

MSCI disclaimers:

Where this report contains any MSCI sourced information, such information is the exclusive property of MSCI Inc. (MSCI). Without the prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

Disclosure of use of artificial intelligence:

Macquarie may utilize various AI tools and/or sources to assist in providing research services, including but not limited to use in fact-finding, data analysis and drafting of research content. However, duly qualified research analysts are ultimately responsible for all content and recommendations contained in Macquarie's research reports.

Country-specific disclaimers:

Australia: In Australia, research is issued and distributed by Macquarie Securities (Australia) Ltd (AFSL No. 238947), a participating organization of the Australian Securities Exchange. Macquarie Securities (Australia) Limited staff involved with the preparation of research have regular interaction with companies they cover. Additionally, Macquarie Group Limited does and seeks to do business with companies covered by Macquarie Research. There are robust information barriers in place to protect the independence of Macquarie Research's product. However, recipients of Macquarie Research should be aware of this potential conflict of interest. **New Zealand:** In New Zealand, research is issued and distributed by Macquarie Securities (NZ) Ltd, a NZX Firm. **United Kingdom and the EEA:** In the United Kingdom and the European Economic Area, research is distributed by Macquarie Capital (Europe) Ltd, which is authorised and regulated by the Financial Conduct Authority (No. 193905). **Hong Kong & Mainland China:** In Hong Kong, research is issued and distributed by Macquarie Capital Limited, which is licensed and regulated by the Securities and Futures Commission. Only non-A share research is distributed into Mainland China by Macquarie Capital Limited. **Japan:** In Japan, research is issued and distributed by Macquarie Capital Securities (Japan) Limited (Tokyo Branch), the Financial Instruments Business Operator, registered with the Financial Services Agency (Registration number: Kanto Financial Bureau (FIBO) No. 231), the member of the Tokyo Stock Exchange, Inc., and the member of Japan Securities Dealers Association. Its Designated Dispute Resolution Institution is Financial Instruments Mediation Assistance Center ("FINMAC"). **Indonesia:** In Indonesia, research is issued and distributed by PT Macquarie Sekuritas Indonesia, a licensed securities company and regulated by Financial Services Authority (Otoritas Jasa Keuangan) and is a member of the Indonesia Stock Exchange. The securities discussed in this report may not be suitable for all investors. **Malaysia:** In Malaysia, research is issued and distributed by Macquarie Capital Securities (Malaysia) Sdn. Bhd. (Company registration number: 199801007342 (463469-W)) which is a Participating Organisation of Bursa Malaysia Berhad and a holder of Capital Markets Services License issued by the Securities Commission. Macquarie may be an Issuer of Structured Warrants on securities mentioned in this report. **Taiwan:** In Taiwan, research is issued and distributed by Macquarie Capital Limited, Taiwan Securities Branch, which is licensed and regulated by the Financial Supervisory Commission. No portion of the report may be reproduced or quoted by the press or any other person without authorisation from Macquarie. Nothing in this research shall be construed as a solicitation to buy or sell any security or product. The recipient of this report shall not engage in any activities which may give rise to potential conflicts of interest to the report. Research Associate(s) in this report who are registered as Clerks only assist in the preparation of research and are not engaged in writing the research. Macquarie may be in past one year or now being an Issuer of Structured Warrants on securities mentioned in this report. **Thailand:** In Thailand, research is produced, issued and distributed by Macquarie Securities (Thailand) Ltd. Macquarie Securities (Thailand) Ltd. is a licensed securities company that is authorized by the Ministry of Finance, regulated by the Securities and Exchange Commission of Thailand and is an exchange member of the Stock Exchange of Thailand. The Thai Institute of Directors Association has disclosed the Corporate Governance Report of Thai Listed Companies made pursuant to the policy of the Securities and Exchange Commission of Thailand. Macquarie Securities (Thailand) Ltd does not endorse the result of the Corporate Governance Report of Thai Listed Companies but this Report can be accessed at: <http://www.thai-iod.com/en/publications.asp?type=4>. Macquarie Securities (Thailand) Limited may be an issuer of derivative warrants on the securities mentioned in this report. **South Korea:** In South Korea, unless otherwise stated, research is prepared, issued and distributed by Macquarie Securities Korea Limited, which is regulated by the Financial Supervisory Services. Information on analysts in MSKL is disclosed at <http://dis.kofia.or.kr/webssquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystStut.xml&divisionId=MDIS03002001000000&servicId=SDIS03002001000>. **Singapore:** In Singapore, research is issued and distributed by Macquarie Capital Securities (Singapore) Pte Ltd (Company Registration Number: 198702912C), a Capital Markets Services license holder under the Securities and Futures Act to deal in securities and provide custodial services in Singapore. Pursuant to the Financial Advisers (Amendment) Regulations 2005, Macquarie Capital Securities (Singapore) Pte Ltd is exempt from complying with sections 34, 36 and 45 of the Financial Advisers Act. All Singapore-based recipients of research produced by Macquarie Capital (USA) Inc. represent and warrant that they are institutional investors as defined in the Securities and Futures Act. Singapore recipients should contact Macquarie Capital Securities (Singapore) Pte Ltd at +65 6601 0888 for matters arising from, or in connection with, this report. **United States:** In the United States, research is issued and distributed by Macquarie Capital (USA) Inc., which is a registered broker-dealer and member of FINRA. Macquarie Capital (USA) Inc. accepts responsibility for the content of each research report prepared by one of its non-US affiliates when the research report is distributed in the United States by Macquarie Capital (USA) Inc. Macquarie Capital (USA) Inc.'s affiliate's analysts are not registered as research analysts with FINRA, may not be associated persons of Macquarie Capital (USA) Inc., and therefore may not be subject to FINRA rule restrictions on communications with a subject company, public appearances, and trading securities held by a research analyst account. Information regarding futures is provided for reference purposes only and is not a solicitation for purchases or sales of futures. Any persons receiving this report directly from Macquarie Capital (USA) Inc. and wishing to effect a transaction in any security described herein should do so with Macquarie Capital (USA) Inc. Important disclosure information regarding the subject companies covered in this report is available at www.macquarie.com/research/disclosures, or contact your registered representative at 1-888-MAC-STOCK, or write to the Supervisory Analysts, Research Department, Macquarie Capital (USA) Inc, 660 Fifth Ave, 13th Floor, New York, NY 10103. **Canada:** In Canada, research is distributed by Macquarie Capital Markets Canada Ltd., a (i) member of the Investment Industry Regulatory Organization of Canada (IIROC) and the Canadian Investor Protection Fund, and (ii) participating organisation of the Toronto Stock Exchange, TSX Venture Exchange & Montréal Exchange. Important disclosure information regarding the subject companies covered in this report is available at www.macquarie.com/research/disclosures. IIROC Rule 3400 Disclosures can be obtained by writing to Macquarie Capital Markets Canada Ltd., 181 Bay St. Suite 3100, Toronto, ON M5J2T3. **India:** In India, research is issued and distributed by Macquarie Capital Securities (India) Pvt. Ltd. (CIN: U65920MH1995PTC090696), 92, Level 9, 2 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai - 400 051, India, which is a SEBI registered Research Analyst having registration no. INH000000545. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Any reference to the securities quoted in example in the report are only for illustration and are not recommendatory. During the past 12 months, Macquarie Group Limited or one of its affiliates may have provided securities services to companies mentioned in this report for which it received compensation for Broking services. Macquarie Group Limited together with its affiliates may have a beneficial interest in the debt securities of the companies mentioned in this report.

Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

© Macquarie Group